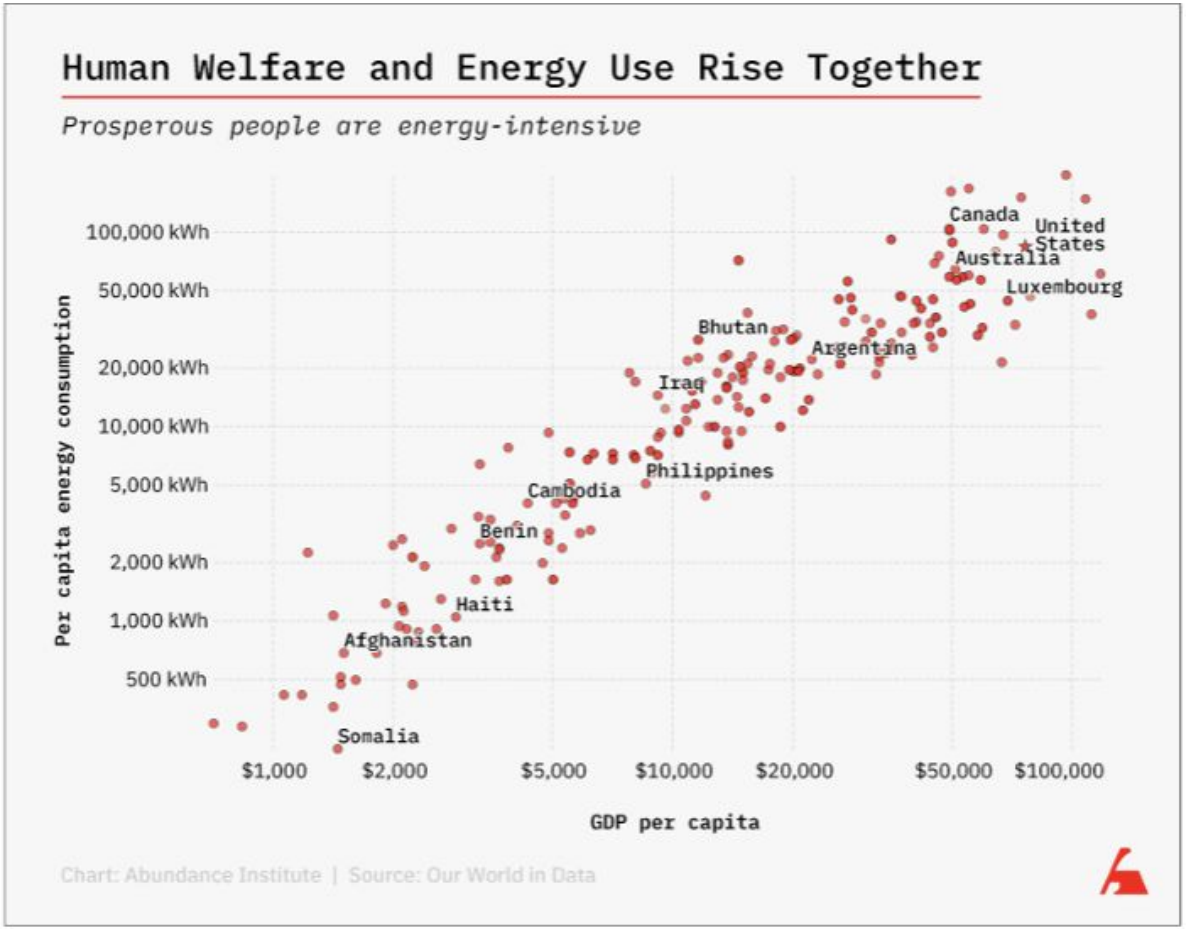
Oklahoma Energy and Data Centers

Oklahoma Senate, Agriculture and Wildlife Committee Meeting
Wednesday, Oct. 28, 2026

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Energy Abundance

"Prosperity is energy-intensive." (Josh Smith, House testimony, July 2025)

OK needs more energy, whether or not for data centers

- Oklahoma's current energy supply (production): **90 TWh/year**
- How is energy demand expected to rise in 5 years? **270 TWH/year**
  (see OG&E forecast)

Increased energy needs are independent of the current spike in data center demand.

In five years from now, the states with the highest growth will be the states with the most energy capacity.

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Some great energy legislation in Oklahoma

- Oklahoma Energy Initiative Act (SB 130) passed in 2025:

"...developing nuclear energy generation in Oklahoma is technically feasible but recognizes several areas of policy that would need to be proactively addressed by state leaders for nuclear development to be realized, particularly costs relative to alternative generation sources."

- Behind The Meter Act (SB 480) passed May 2025:
  - Expands behind the meter energy production, on-premises self supply,,especially for data centers.
  - If they can operationalize this it will be a big deal.
  - Signed into law, but needs to be implemented well.
- Consumer Regulated Electricity (CRE State Tracker: https://cre-state-tracker.vercel.app/)

Needs clearer implementation pathways, political will, and voter sentiment

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Data Centers: most recent spike in IT infrastructure investment

Energy and data centers are economic development

- 2026 US IT data center infrastructure investment: **$300-$500 billion**
- 2026 OK IT data center infrastructure investment: $?

Main data center resource constraints:

- **Electricity is the main constraint.**
  - If you don't have available power, data center will force tradeoffs.
- Water is no longer a primary constraint
  - Modern closed loop cooling is 10x more efficient than traditional evaporative cooling
- Noise and air quality issues have been mitigated.

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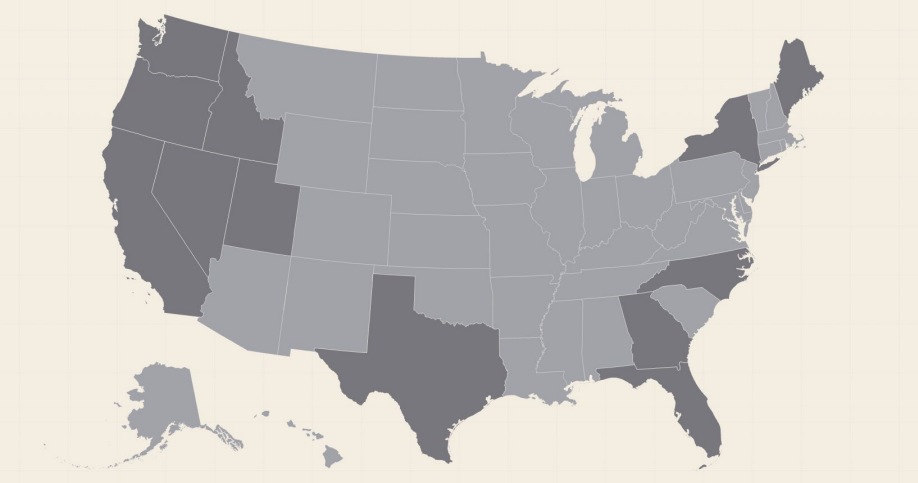
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Data center growth can modernize grid and lower bills

"**What the Data Center Debate Gets Wrong**", Ryan Norris, *Barrons*, Oct. 22, 2026

- Electricity is the biggest constraint. If you don't have enough capacity, prices can rise.
- Data centers can pay for their own behind-the-meter generation (SB 480)
  - President **Trump**: New large data centers should **provide their own** electricity and pay residents dividend
  - Electric Power Research Institute: data center growth r**educed average rates** in 2015-2024
  - **Google** worked with **Nevada Energy** to support and pay for the extra cost of the development of **115 megawatts** of enhanced **geothermal** generation
  - **Meta** is funding expiring **nuclear** government subsidy on **Illinois** nuclear power operator.

DataCenterAtlas.org



Evans, Lambert, and Chinault, "Introducing DataCenterAtlas.org," Econosseur (Jun. 9, 2026)

Evans and Chinault, "Which Localities Can Capture the Benefits of the Data Center Infrastructure Boom?," Econosseur (Aug. 11, 2026)

Data Centers

- Evans and Chinault, "Which Localities Can Capture the Benefits of the Data Center Infrastructure Boom?," Econosseur (Aug. 11, 2026)
  - Counties should be competing for construction of data centers in appropriate locations within their boundaries.
  - Electricity is the biggest cost and constraint on local resources, and that bottleneck will exist independent of data center construction.
  - **DataCenterAtlas.org** web tool highlights the significant benefits of data centers, especially in terms of property tax revenue and jobs.
  - The most common reasons for local opposition to data centers can be overcome with better information and more transparent decision processes.

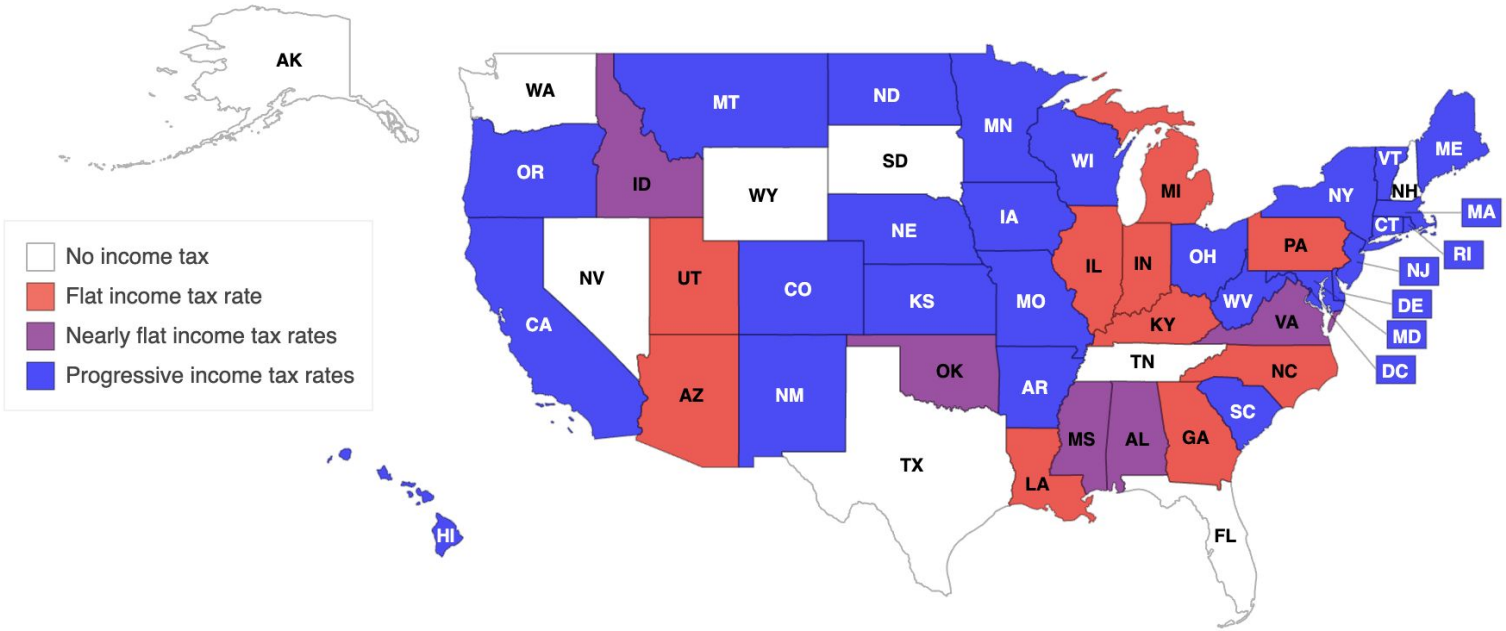
Key Question for OK: State competitiveness

- How to get the most out of data centers in the state without driving them elsewhere
  - Small tangible personal property tax rates
  - Same property tax rates of other businesses
  - Depreciation expense is a pro-growth area to give incentives

- Competition with surrounding states is intense
  - jobs, residents
  - Business and individual income taxes
  - TX, LA, AR, TN, MO, KY, AL

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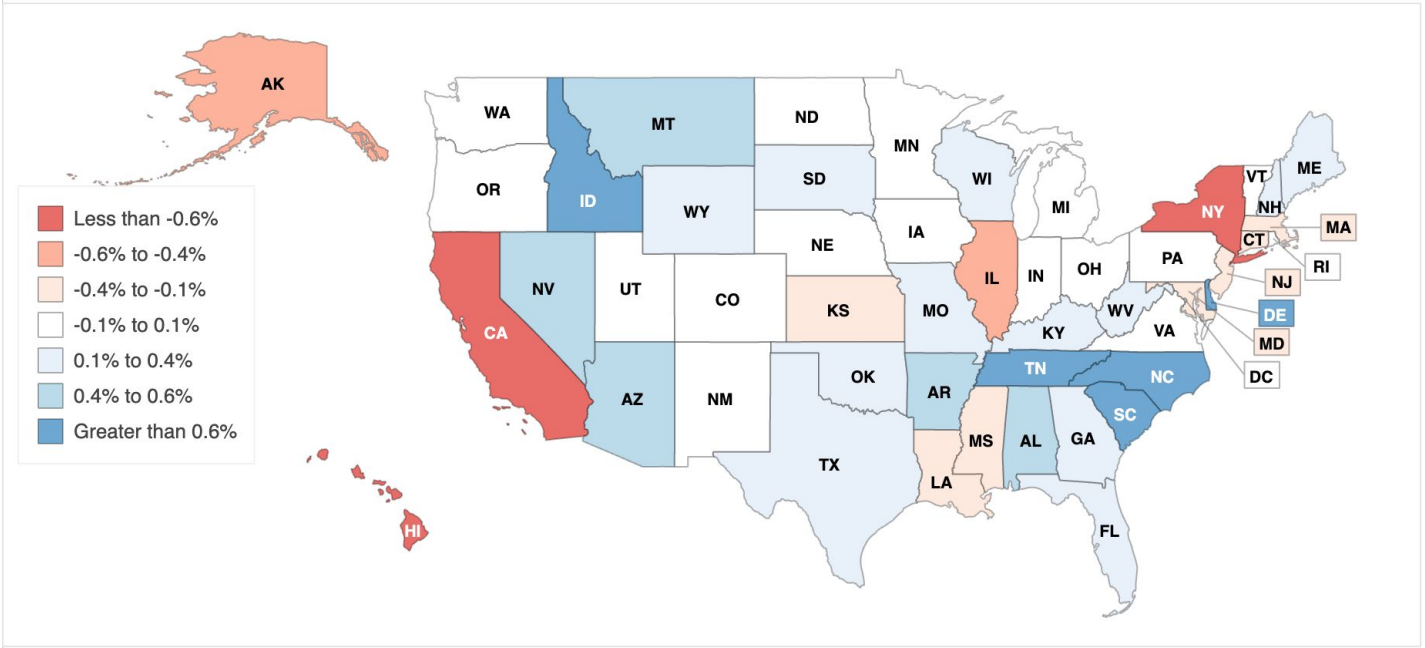
OK state employment income tax versus rest of US



Source: Richard W. Evans (@RickEcon), updated May. 12, 2026. I define a state as having "Nearly flat income tax rates" if it has multiple tax brackets with differing marginal tax rates and if the minimum income in the top bracket for household filers of status "Married filing jointly" is less than $20k. Data come from Tax Foundation, Fritts and Loughead (2026), and Utah and Arkansas 2026 legislative updates.

OK net domestic migration versus other US states

Figure 3. 2024 net domestic migration as percent of 2023 population



Source: Richard W. Evans (@RickEcon), updated Nov. 21, 2025. Data are from US Census Bureau, U-Haul, United Van Lines. See also Tax Foundation, Loughead (2025).

Avoiding state moratoria, informing local leaders and residents

- Interesting data center dynamic: state vs. local
  - States are imposing moratoria on data center construction
  - County and municipal leadership approves data centers
- Playbook for States, Counties, Municipalities
  - More accurate information to residents on benefits and costs
  - More transparency for residents
  - Demand data centers pay for energy infrastructure

About Richard W. Evans

- Education:
  - BA, Economics, **Brigham Young University,** 1993-1998
  - MA, Public Policy, **Brigham Young University**, 2001-2003
  - PhD, Economics, **University of Texas at Austin**, 2003-2008
- Jobs:
  - Senior Economist, **Abundance Institute**, 2024-present
  - President, Open Research Group, Inc., 2016-2026
  - Senior Research Fellow, Center for Growth and Opportunity, 2022-2024
  - Advisory Board Visiting Fellow, Center for Public Finance, Baker Institute for Public Policy, Rice University, 2020-2022
  - Nonresident Fellow, Tax Policy Center, 2019-2021
  - Associate Director and Senior Lecturer, Masters in Computational Social Science Program, **University of Chicago**, 2016-2020
  - Fellow, Becker Friedman Institute, **University of Chicago**, 2016-2019
  - Economist, Open Source Policy Center, American Enterprise Institute, 2014-2018
  - Assistant Professor, Economics Department, **Brigham Young University,** 2008-2016
  - Dissertation Intern, **Federal Reserve Bank of Dallas**, 2007
  - Staff Assistant, **Joint Economic Committee of US Congress**, 2002

About the Abundance Institute: Tech, AI, Energy Policy

Mission-driven nonprofit focused on creating space for emerging technologies to grow, thrive, and have a chance to reach their full potential. (See https://abundance.institute/about)

Focusing on the societal and policy barriers that emerging technologies face:

- Investing in talent development and talent assembly
- Supporting a community of optimists, founders, and innovators
- Shaping public policies before emerging technologies go mainstream

Main office: SLC, UT

Other office: DC

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